

Pinnacle 05 2024

Originator: Spandana Sphoorty Financial Limited

June 23, 2025

Instrument	Amount (₹ crore) [@]	Balance Tenure (months) [*]	Credit Enhancement (₹ crore)		Rating ¹	Rating Action
			Cash Collateral	Over-collateral		
Series A1 PTC	26.52	9	5.55	16.86 [^]	CARE AA- (SO)	Reaffirmed

Details of instruments/facilities in Annexure-1

[@]After April 2025 payout.

[#]The PTCs are rated based on timely payment of interest and payment of principal on or before the last scheduled payout date.

^{*}Tenure/door-to-door maturity may change due to prepayments or changes in interest rates if any.

[^]Includes overdue principal of ₹5.19 crore (13.60% of the balance pool POS)

Rationale and key rating drivers

CARE Ratings Limited (CareEdge Ratings) has reaffirmed the rating of the Series A1 PTC issued by Pinnacle 05 2024, backed by microfinance loans receivables originated by Spandana Sphoorty Financial Limited (SSFL), at 'CARE AA- (SO)' (pronounced as Double A Minus [Structured Obligation]).

Reaffirmation in ratings is primarily based on performance of underlying loans over the last 11 months post-securitisation, robust legal structure, well-defined payment mechanism, significant build-up in cash collateral (CC) and over collateral (OC) – as a percentage of the balance amount of pass-through certificates (PTCs), subordination of excess interest spread (EIS), servicing capability and overall performance of SSFL.

Rating sensitivities: Factors likely to lead to rating actions

Positive factors - Factors that could, individually or collectively, lead to positive rating action/upgrade:

- Delinquencies (90+ DPD) of less than 2% and the sustained high collection efficiency (cumulative collection efficiency of over 98%).

Negative factors - Factors that could, individually or collectively, lead to negative rating action/downgrade:

- Delinquencies (90+ DPD) of over 15% and the sustained lower collection efficiency (cumulative collection efficiency of less than 85%).
- Deterioration in the credit profile of the originator.
- Utilisation of CC.
- Non-adherence to key transaction terms envisaged at the time of the rating.

Analytical approach

The rating reaffirmation is based on inter alia, observed and expected performance of pool, presence of credit enhancement and adherence to the transaction structure.

Detailed description of key rating drivers

Pool Performance:

The pool has amortised by 66% in 11 months post-securitisation, with nil utilisation of CC. The pool has exhibited high delinquencies. As on April 2025, overdue (OD) (as a percentage of the initial principal outstanding [POS]) is 5.62%. The credit enhancement (CE) available is sufficient to sustain ratings for the balance tenure.

¹Complete definitions of ratings assigned are available at www.careedge.in and in other CARE Ratings Limited's publications.

Pool summary (as of April 2025 payout)	
Months post-securitisation	11
Pool amortisation	65.63%
30+ delinquency (percentage of the initial pool POS)	11.42%
90+ delinquency (percentage of the initial pool POS)	8.11%
Overdue amount (percentage of the initial pool POS)	5.62%
Cumulative CE [CCE]	92.30%
CC (percentage of the balance PTC POS)	20.94%
Cumulative prepayments	7.37%

Key strengths

- Moderate cumulative collection efficiency of 92.30% and amortisation of 65.63% after 11 months post securitisation.
- CC as a percentage of PTC POS is 20.94%, which remains unutilised.
- Well-defined payment mechanism and adherence to the transaction structure.

Key weaknesses

- The 90+ DPD and OD in the pool is high at 8.11% and 5.62%, respectively (as percentage of initial pool POS).
- Weak borrower profile as this segment is susceptible to socio-political disruptions and other external shocks.

Liquidity: Adequate

The inherent liquidity in the structure is adequate. Interest payouts for Series A1 PTCs are promised monthly while the principal of Series A1 PTC is promised to be paid on or before the final legal maturity. The investors in Series A1 PTC may expect principal repayment monthly per the agreed waterfall mechanism. In case of delinquency, payouts are expected to be supported by CC (in the form of fixed deposits [FDs]), OC, and EIS.

Key rating assumptions and adequacy of credit enhancement:

CareEdge Ratings has analysed the transaction to assess whether the CE is sufficient to cover shortfalls. Since the transaction is sensitive to credit quality of the underlying pool, CareEdge Ratings has analysed the performance of the pool and the overall portfolio performance of the originator. Considering borrower profile and nature of the loan, pool characteristics and portfolio performance, CareEdge Ratings has taken the average shortfall from 13.00% to 15.00% of the principal outstanding. The base case shortfalls were stressed and other key factors such as timing of shortfalls, recovery assumptions, and time to recovery. CareEdge Ratings has found the CE provided is sufficient to cover shortfalls in a stress scenario commensurate with the assigned rating. The pool cash flow has been further adjusted for prepayments of underlying loans, assuming monthly prepayments in the range of 0.50%-1.00%.

Key risks, concerns and mitigants:

The securitisation transaction involves several risks, including credit risk from borrower defaults, commingling risk due to time lags in fund deposits, prepayment risk from early principal repayments, servicer bankruptcy risk, legal risk regarding the validity of receivable transfers, and counterparty risk involving transaction parties. These risks are factored while assigning rating, wherever needed, and partially mitigated through credit enhancements, separate record-keeping, credit rating/profile of the originator, transaction structuring, true sale of receivables, legal opinion from independent legal counsel. The transaction structure also has provision to change counterparties including trustee and banker among others.

Applicable criteria

[Policy on Default Recognition](#)

[CARE Ratings' methodology for asset/mortgage-backed securitisation](#)

About the Originator / Servicer and industry

Industry classification

Macroeconomic indicator	Sector	Industry	Basic industry
Financial services	Financial services	Finance	Securitisation

SSFL was incorporated on March 10, 2003, under the provisions of the Companies Act, 1956 and was registered as on non-deposit accepting NBFC with the RBI and was classified as an NBFC-MFI effective April 13, 2015. The company is engaged in undertaking

microfinance loans business in India in a joint liability group (JLG) and loan against property (LAP) lending model. The company provides micro loans with a tenure of 1-2 years to women borrowers from low-income households for income generation activities such as agriculture, handlooms and handicrafts, cattle rearing, cottage industries and micro entrepreneurial ventures including tailoring and grocery stores among others, education and healthcare. The company has two subsidiaries, Caspian Financial Services Limited (CFSL) and Criss Financial Limited (CFL). As on December 31, 2024, the company operates in 19 states and one union territory with consolidated assets under management (AUM) of ₹8,936 crores. SSFL is engaged in microfinance loan business for over 23 years and is an active player in securitisation/bilateral market and as on July 31, 2024, SSFL has 11 such live pools with initial size amounting to ₹1,709 crore.

Key financial indicators - SSFL

Brief financials	FY23 (A)	FY24 (A)	FY25 (A)
Total income (₹ crore)	1,394	2,387	2,245
PAT (₹ crore)	12	468	-957
Total assets (₹ crore)	9,186	12,870	8,008
Net NPA (%)	0.58	0.29	0.96
ROTA (%)	0.15	4.24	-9.17

A: Audited; Note: these are latest financial results available

Key terms of Servicer Contract:

The servicing agreement has covered the role of the originator as the Collection and Payment Agent (CPA) for the SPV in managing collections from underlying borrowers, without informing them of the assignment. The Servicer (originator) follows its standard procedures for collections, including recovery actions, and ensures timely transfers of funds to the SPV under an M+1 payment structure. The trustee monitors the sufficiency of funds for investor payouts one day prior to payout date and utilises cash collateral in case of shortfall. The Servicer is also submitting detailed reports on billing, collections (including prepayment), overdue amounts with aging thereof, cash flow schedules to the trustee and such other information as may be required by the trustee. The terms of the agreement have provisions for the appointment of an alternate servicer in case of servicer event of default.

Status of non-cooperation with previous CRA: Not applicable

Any other information: Nil

Rating history for last three years: Annexure-2

Detailed explanation of covenants of rated instruments/facilities: Annexure-3

Complexity level of instruments rated: Annexure-4

Lender details: Annexure-5

Annexure-1: Details of instruments/facilities:

Name of the Instrument	ISIN	Date of Issuance (DD-MM-YYYY)	Coupon Rate (%)	Maturity Date (DD-MM-YYYY)	Size of the Issue (₹ crore)	Rating Assigned and Rating Outlook
Pass Through Certificates	-	31-05-2024	9.85	15-01-2026	26.52	CARE AA- (SO)

Annexure-2: Rating history for last three years:

Sr. No.	Name of the Instrument/Bank Facilities	Current Ratings			Rating History			
		Type	Amount Outstanding (₹ crore)	Rating	Date(s) and Rating(s) assigned in 2025-2026	Date(s) and Rating(s) assigned in 2024-2025	Date(s) and Rating(s) assigned in 2023-2024	Date(s) and Rating(s) assigned in 2022-2023
1	Pass Through Certificates	LT	26.52	CARE AA-(SO)	-	1)CARE AA-(SO) (29-Aug-24) 2)Provisional CARE AA-(SO) (03-Jun-24)	-	-

LT- Long Term

Annexure-3: Detailed explanation of covenants of rated instruments/facilities

Not applicable

Annexure-4: Complexity level of instruments rated

Sr. No.	Name of Instrument	Complexity Level
1.	Pass Through Certificates	Highly complex

Annexure-5: Lender details

Not applicable

Note on complexity levels of rated instruments: CareEdge Ratings has classified instruments rated by it based on complexity. Investors/market intermediaries/regulators or others are welcome to write to care@careedge.in for clarifications.

Contact us

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About us:

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